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Tentative

Ruling

IJW

Whiskey Company, LLC v. David "Dukie" Morduchowitz, et al., Case No 26SMCV02813

Plaintiff's

Motion for a Preliminary Injunction

Hearing

Date: August 5, 2026

Background

Plaintiff

IJW Whiskey Company, LLC ("IJW") sues Defendant David "Dukie" Morduchowitz and Samah Capital, LLC for breach of contract, breach of fiduciary duty, aiding and abetting breach of contract and breach of fiduciary duty, common law and statutory fraud, misappropriation of trade secrets under 18 U.S.C. § 1836, common law trademark infringement and trademark infringement under 15 U.S.C. § 1125(a), unfair business practices, conversion, theft, receipt of stolen property, and intentional interference with prospective economic advantage. IJW alleges that Morduchowitz appropriated trade secrets and formed and funded a competitor, Samah Capital, while IJW's president. (Complaint, ¶¶ 1, 7.) IJW alleges that both IJW and Samah Capital are vertically integrated spirits companies focused on investing and/or acquiring spirits brands. (Id. at ¶ 2.)

On May 15,

2026, IJW filed this action.

On May 22,
2026, IJW filed this application for a preliminary injunction.

On May 28,
2026, Morduchowitz filed a Motion to file his cross-complaint under Seal.

On May 28,
2026, Morduchowitz filed a cross complaint against Isser Elishis, Distilling Class A LLC, Japan SE LLC, and Spirits SE LLC for breach of contract, breach of the implied covenant of good faith and fair dealing, false promise, unfair business practices, and promissory estoppel. Morduchowitz alleges that Elishis, IJW's founder, promised Morduchowitz an equity interest in IJW and failed to deliver on that promise. (Cross-Complaint, ¶ 2.)

On July 6,
2026, Morduchowitz filed a demurrer to IJW's complaint.

On July
24, 2026, Morduchowitz filed opposition to IJW's application for a preliminary injunction.

Arguments

IJW seeks
a preliminary injunction prohibiting Defendants from using or disseminating IJW's confidential information. (Application, p. 18.) IJW also seeks an order preventing Defendants from deleting evidence of their wrongdoing and requiring them to submit devices for forensic inspection. (Application for Preliminary Injunction, p. 6.) IJW argues that its success as a vertically integrated global spirits company depends on its proprietary strategies, market and data analyses, product formulations, and deal-making playbooks that it alleges Morduchowitz unlawfully appropriated. (Id. at p. 8.) IJW argues that Defendants initially agreed to a forensic inspection, but failed to produce all the necessary devices, agree to an inspector, or pay the costs they agreed to bear. (Id. at pp. 10-14.) IJW argues that it is likely to succeed on the merits of its claim for misappropriation of trade secrets under the Defend Trade Secrets Act ("DTSA") because there is no real dispute that Morduchowitz exfiltrated IJW's documents and data during and after his employment. (Id. at p. 16.) IJW

argues that it will prevail on its breach of contract claims because it has shown the existence of an employment agreement and the Defendants' breach of that agreement by misappropriating IJW's confidential information. (ID. at p. 17.) IJW argues that the balance of the harms favors granting the preliminary injunction because Morduchowitz can use the information he appropriated to erase IJW's competitive advantage in the distilled spirits industry. (Id. at p. 18.) IJW argues that the requested relief is narrowly tailored to the trade secrets and breach of contract issues to preserve the status quo and prevent further harm. (Id. at p. 20.)

In opposition, Morduchowitz argues that IJW's application should be denied because there is no emergency, and because the issues it seeks relief on are problems of its own creation. First, Morduchowitz argues that IJW has had eight months to seek relief on the evidentiary issues, so there is clearly no exigency. (Opposition, p. 2.) Second, Morduchowitz argues that IJW does not identify any trade secrets that Morduchowitz allegedly misappropriated because IJW's general identification of sales strategies, data, strategic plans, and research and development are not specific enough to sustain a claim under the DTSA. (Id. at p. 7.) Morduchowitz also argues that IJW does not own some of the affiliate materials it asks the Court to enjoin and that the record shows that Morduchowitz did not access the material by improper means, nor do they produce evidence of misappropriation beyond mere possession. (Id. at p. 9.) Next, Morduchowitz argues that IJW's breach of contract claims do not seek the damages sought on this motion, and that IJW does not seek enforcement of the inspection protocol's terms. (Ibid.) Morduchowitz argues that IJW's alleged injuries are compensable in damages, and that IJW's forensics do not show a threat. Finally, Morduchowitz argues that IJW's proposed order would place Morduchowitz under contempt exposure attached to undefined confidential information and submit his personal and family materials to forensic examination. (Id. at p. 12.) Morduchowitz argues that the proposed order's terms independently fail as vague and operate as a judicially imposed non-compete agreement, and that the order sought is a discovery motion dressed up as a preliminary injunction. (Id. at p. 13.) Finally Morduchowitz argues that Defendants propose a mutual preservation order that is more fair. (Id. at p. 15.)

In reply, IJW argues that Morduchowitz admits that he breached the employment agreement and the forensic inspection protocol agreement, both of which support IJW's requested relief. (Reply, p. 3.) IJW argues that its application sufficiently

describes trade secrets and that hedging language is appropriate at this stage. (Id. at p. 5.) IJW argues that the passage of time does not defeat its irreparable harm claim and that the delay is explained by Morduchowitz's failure to comply with the forensic inspection contract. (Id. at p. 8.) IJW argues that money damages are insufficient to compensate their harm because Morduchowitz is using IJW trade secrets in pitches on behalf of Samah Capital. (Id. at p. 9.) IJW argues that the requested relief is appropriate. (Id. at p. 10-11.)

Evidentiary

Objections

Morduchowitz

makes 21 objections to the Frisch Declaration. All of the objections are overruled.

IJW makes

18 objections to the Morduchowitz Declaration. The Court overrules objections 1-5, 7 (except the first sentence), and objections 8-17. The Court sustains objection 6 (offer to compromise), objection 7 as to the first sentence of paragraph 19 only (offer to compromise); and Objection 18 (offer to compromise).

Legal

Standard- Preliminary Injunction

The

purpose of a preliminary injunction is to preserve the status quo pending a decision on the merits. (Major v. Miraverde Homeowners Ass'n. (1992) 7 Cal. App. 4th 618, 623.) In deciding whether or not to grant a preliminary injunction, the court looks to two factors, "(1) the likelihood that the plaintiff will prevail on the merits, and (2) the relative balance of harms that is likely to result from the granting or denial of interim injunctive relief." (White v. Davis (2003) 30 Cal.4th 528, 553-54.) The factors are interrelated, with a greater showing on one permitting a lesser showing on the other. (Dodge, Warren & Peters Ins. Services, Inc. v. Riley (2003) 105 Cal.App.4th 1414, 1420.) However, the party seeking an injunction must demonstrate at least a reasonable probability of success on the merits. (IT Corp. v.

County of Imperial (1983) 35 Cal.3d 63, 73-74.)² The party seeking the injunction bears the burden of demonstrating both a likelihood of success on the merits and the occurrence of irreparable harm.³ (Savage v. Trammell Crow Co. (1990) 223 Cal.App.3d 1562, 1571.) Irreparable harm may exist if the plaintiff can show an inadequate remedy at law.⁴ (Code Civ. Pro. § 526 subd. (a).)

Analysis

IJW seeks

an order requiring Defendants not to disclose trade secrets; enjoining Defendants from representing that they are affiliated with IJW; requiring that Defendants preserve trade secrets or confidential information; and “requiring that Defendants submit for forensic inspection all personal electronic devices and storage media, including but not limited to any laptops, mobile phones, tablets, external hard drives, USB drives, and cloud storage accounts, that were used to access, store, or transfer IJW’s trade secrets or confidential information, including any device(s) that accessed Morduchowitz’s personal USB drive after September 8, 2025.” (Proposed Order, p.2.) The majority of IJW’s brief is dedicated to these last two requests. The fourth request, in particular, seems more like the relief a Court might award in a discovery dispute or on a motion to compel response to request for production than the relief the Court would grant on a motion for a preliminary injunction because the request does not correlate directly to the relief sought in IJW’s complaint.

Likelihood

of success on the merits

a.

Trade

Secret Misappropriation under 15 U.S.C. 1836

To prevail

on a claim for misappropriation of trade secrets under the DTSA, a plaintiff must prove “(1) that the plaintiff possessed a trade secret, (2) that the defendant misappropriated the trade secret; and (3) that the misappropriation caused or threatened damage to the plaintiff.” (InteliClear, LLC v. ETC Glob. Holdings, Inc. (9th Cir. 2020) 978 F.3d 653, 657-658.) To prove ownership of a trade secret, the plaintiffs must “describe the subject matter of the trade secret with sufficient particularity to separate it from

matters of general knowledge in the trade, clearly refer to tangible trade secret material instead of a system that potentially qualifies for protection, must not rely on 'catchall' phrases or identify categories of trade secrets; and must not merely cite and incorporate by reference hundreds of documents containing purported trade secrets. (Id. at 358.)

Here, IJW

describes four categories of trade secrets: (1) Marketing, sales, and operations strategies; (2) Data analysis concerning products and services; (3) Long- and short- term strategic plans; and (4) Research and development.

Marketing,

sales, and operations strategies are described as including "investor materials providing detailed information on IJW's methods and processes for conducting its business operations and monetizing business opportunities and ventures." (Frisch Decl., ¶3(a).) This description does not provide the Court with sufficient information to identify what might qualify as a trade secret. Instead, it describes a category of trade secrets.

Similarly,

IJW describes its data analysis as "data and analysis thereof concerning its business operations, including its development and provision of products and services to clients." (Frisch Decl., ¶ 3(b).)

IJW's

description of its long – and short – term strategic plans as "goals and strategies set forth in confidential and proprietary internal documents," is insufficient because it obliquely references documents containing the trade secrets without describing them. (Id. At ¶ 3(c).)

IJW's

description of its research and development trade secrets is more specific: these secretes "include, for instance, the specifications of IJW's product formulations and corresponding production techniques." (Id. at ¶ 3(d).) However, this description is still of a system that might qualify for protection and does not identify any specific secrets.

The

supplemental Frisch declaration submitted in reply provides additional detail:

a.

Non-public details of IJW's actual and prospective business and/or investor relationships, including the identities of the actual and/or prospective counterparties, precise dollar figures associated with such relationships, and the contents of communications between IJW and the actual and/or prospective counterparties;

b.

Non-public details regarding the ownership and structure of various IJW affiliated entities, as well as changes thereto and associated documentation;

c.

Non-public details regarding the valuation and fundraising efforts of IJW and its affiliates, including precise dollar figures and timing;

d.

Non-public details regarding what the Draft Complaint refers to as "IJW's entire value-realization strategy," and specific revenue figures and rates of return associated with different aspects of said "strategy"; and

e.

Non-public details regarding IJW's construction of a distillery, including the budget for such project.

(Supplemental
Frisch Decl., ¶ 9.)

In *InteliClear,*

LLC v. ETC Global Holdings, Inc., the ninth circuit found that the description "the InteliClear System's unique design and concepts and the unique software, formulas, processes, programs, tools, techniques, tables, fields, functionality, and logic by which its components interrelate and process data," was insufficient alone. However, supplemental declarations describing specific features of the InteliClear system, such as specific tables, columns, account identifiers, codes, and methodologies were sufficient to show a triable issue of fact on Plaintiff's claim for misappropriation of trade secrets and thus defeat the defendant's motion for summary judgment. (*InteliClear, LLC v. ETC Global Holdings, Inc.*, *supra*, 978 F.3d at 658-659.)

Here, the

supplemental Frisch declaration provides sufficient detail describing what trade secrets IJW alleges Morduchowitz misappropriated.

IJW submits

evidence that Morduchowitz misappropriated the trade secrets at issue in two specific pitches he made on behalf of Samah Capital, one for a burbon brand and another for a tequila company. (Frisch Decl., ¶ 18-20.) Morduchowitz submits evidence that he did not use trade secrets in those pitches and that IJW's founder authorized him to pursue opportunities outside of IJW in 2024. (Morduchowitz Decl., ¶ 8.) Morduchowitz also submits evidence that IJW passed on both opportunities before he made the pitches on behalf of Samah Capital. (Id. at ¶ 19.) In reply, IJW identifies what confidential material the pitches contained, but does not provide evidence showing that Mr. Elishis did not authorize the pitches. As such, IJW has not met its burden of showing misappropriation.

b.

Breach
of Contract

IJW

alleges that Morduchowitz breached his employment agreement and the Forensic Inspection Protocol Agreement, and seeks monetary damages, specific performance, and injunctive relief. (Complaint, ¶¶ 88, 96.)

To prove

breach of contract, a plaintiff must show (1) the existence of a contract, (2) plaintiff's performance or excuse for nonperformance; (3) defendants' breach; and (4) resulting damage. (Wall Street Network, Ltd. v. N. Y. Times Co. (2008) 164 Cal.App.4th 1171, 1178.) When a plaintiff seeks specific performance, it must also prove the inadequacy of a legal remedy, that the underlying contract was reasonable and supported by adequate consideration; the existence of a mutuality of remedies, sufficiently definite contractual terms; and substantial similarity between requested performance and promised performance. (Union Oil Co. of Cal. v. Greka Energy Corp. (2008) 165 Cal.App.4th 129, 134 [“Specific performance ... decreed whenever: (1) ... terms are sufficiently definite; (2) consideration is adequate; (3) there is substantial similarity of the requested performance to the contractual terms; (4) there is mutuality of remedies; and (5) plaintiff's legal remedy is inadequate.”].)

IJW

presents evidence that Morduchowitz's employment agreement contained a confidentiality obligation and required him to return all IJW's property at termination. (Frisch Decl., ¶ 10-11.) IJW also brings evidence that Morduchowitz breached this agreement by using IJW's confidential information to develop Samah Capital and by copying 50,000 documents onto his personal hard drive. (Id. at ¶ 31.) IJW attests that it was harmed by Morduchowitz's retention of this information. As such, IJW has stated a claim for breach of contract based on the employment contract.

Here, Morduchowitz

agreed to turn over all devices containing confidential information after he was terminated, and, with the advice and assistance of counsel, entered into a contract with IJW providing for that forensic inspection – the Forensic Inspection Protocol Agreement. (Morduchowitz Decl., Exhibit 10.) The contract provides for a neutral third party to inspect the devices, identifies which devices are covered by the agreement, and provides Morduchowitz and his counsel the opportunity to remove any privileged or personal information from the devices. (Ibid.) IJW has presented evidence that Morduchowitz did not turn over the devices or comply with the terms of that contract, and that it has been harmed. As such, IJW has met its burden of showing that it is likely to succeed on its claim for breach of contract.

Balance

of the Harms

a.

Use

of Confidential Information in violation of the Employment Agreement

IJW

alleges that Morduchowitz breached the employment agreement in two ways: by using IJW confidential information to develop Samah Capital and by copying that information onto his personal hard drives and not returning that information. (Frisch Decl., ¶¶ 10-11.) The Court considers the harm done by using confidential information in violation of the employment agreement here.

IJW argues

that the balance of the harms favors granting a preliminary injunction barring

Morduchowitz from using IJW's confidential information. IJW argues that Morduchowitz's pitch decks for a tequila and bourbon brand used this confidential information. (Supplemental Frisch Decl., ¶ 14.) These pitches, however, occurred in 2024 and early 2025, before Morduchowitz left IJW. (Frisch Decl., ¶¶ 18-25.) While there may be a likelihood that those disclosures are actionable breaches of the employment contract, IJW has presented no evidence of imminent harm. Following a careful review of the evidence, the Court cannot find concrete evidence that Morduchowitz is currently using or preparing to use IJW's confidential information in any future business ventures. As such, IJW has not satisfied its burden of showing imminent harm.

Additionally, IJW has failed to show that any potential breaches of the confidentiality provision of the employment agreement could not be adequately compensated with monetary damages. IJW references the harm to their business and reputation, but those injuries are compensable with monetary damages.

The Court also believes that granting the preliminary injunction as to the forensic inspection agreement (see below) significantly minimizes the risk of potential harm to IJW. IJW describes the confidential material Morduchowitz copied in significant detail, and the Court does not believe that such information could be used after it is removed from all Morduchowitz's devices, as is called for in the Forensic Inspection Agreement. (See Supplemental Frisch Decl., ¶ 4.) In that sense, a less restrictive injunction will fulfill the same non-monetary objective as an injunction directing Morduchowitz not to use confidential material, an obligation already contained in the employment agreement with remedies in this litigation.

b.

Retention

of Confidential Information in violation of the Employment Agreement and Forensic Inspection Agreement

Morduchowitz

contends no harm is done by Morduchowitz's retention of IJW's information that cannot be remedied by money damages and that enforcement of the Forensic Inspection Agreement is inappropriate because the issue raised is properly addressed as part of the discovery process. (Opposition, p. 14.) While Morduchowitz is correct that these issues most often arise in the context of

discovery disputes, IJW is explicitly seeking to enforce the Forensic Inspection Agreement as part of its complaint against Morduchowitz. The Court is not ordering the forensic inspection under the Discovery Act. Rather, the Court is simply enforcing agreements the parties reached with the benefit of counsel on both sides.

Morduchowitz

also argues that IJW's delay in filing this case and bringing this motion shows that there is no imminent harm. IJW, however, presents compelling evidence that the confidential information on Morduchowitz's devices includes sensitive financial information that could harm IJW if Morduchowitz elects to distribute it publicly. Just because that has not yet happened does not mean that the harm is not imminent. Were Morduchowitz to disclose the information, IJW's harm would be substantial.

The type

of harm posed by Morduchowitz's use of confidential information is different from the harm posed by his retention of that information. The Court finds that the difference between using general business strategies as a competitor and returning specific documents is determinative. There is no evidence that harm caused by the former type of breach is imminent because there is no evidence that Morduchowitz has pitched opportunities using IJW information since he was terminated. Were he to enter into a deal using IJW information, the harm would also take time to accrue. The latter category, however, would inflict imminent harm on IJW if the information were disclosed because it would enable competitors to use IJW's information directly. Morduchowitz and his actions are subject to the jurisdiction of this Court and harm done by his use of confidential information is compensable by monetary damages in this action. On the other hand, if IJW's confidential information in Morduchowitz's possession became public, non-party competitors could harm IJW and might not be subject to the Court's jurisdiction in this matter. Accordingly, as to damages arising from Morduchowitz's failure to return IJW's confidential information, IJW has met its burden of showing imminent harm.

Morduchowitz's

fairness objections to the Forensic Inspection Agreement are not well taken. The forensic inspection agreement, as written, contains privacy and privilege provisions that address Morduchowitz's concerns. The forensic inspection agreement appoints a neutral party to inspect Morduchowitz's devices and gives Morduchowitz and his attorneys the opportunity to remove privileged and

personal information from those devices. The fact that Morduchowitz's new counsel believe a different inspection protocol should have been negotiated is not grounds to disregard the agreement the parties negotiated. Importantly, Morduchowitz entered into this agreement with the advice and assistance of counsel two months after IJW fired him. At that time, both parties had been in negotiations regarding this agreement and related termination issues for weeks.

Finally, the harm done by retention of confidential information in breach of the employment agreement and forensic inspection agreement is not the type easily compensable with monetary damages. Both agreements required Morduchowitz to turn over confidential information. Specific performance is required in this context to make IJW whole.

Conclusion

IJW's motion for preliminary injunction is GRANTED in part and DENIED in part.

The Court

GRANTS the preliminary injunction and orders Morduchowitz to comply with his obligations under the Forensic Inspection Agreement.

The Court

DENIES IJW's motion for a preliminary injunction as to its other requests.